STIVEN CATALYST

OCTOBER 2026

# MANAGEMENT REVIEW

Management without theatre.



## THE MANAGER IN THE AGE OF AI

How work is being redesigned, and what leaders must keep human.

INSIDE

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FROM THE EDITOR

# Clear ideas for better management.

This edition is built on data, practical tools and clear thinking about management.

There are no invented statistics and no empty jargon, and every idea has to lead to a concrete action.

The aim is simple: to help managers, teams and organisations make better decisions and build stronger processes.

The edition has three parts: the big picture, managers under pressure, and practice you can start on Monday.

*Stiven Janaqi*

EDITOR · STIVEN CATALYST

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COVER STORY

# The manager in the age of AI

How work is being redesigned, and what leaders must keep human.




AI is changing the tools we work with, and with them how work is divided, how results are measured and how decisions are made. The new manager asks two questions: what can be automated, and what must stay human.

**01**

**Automate tasks, not accountability**

Let AI remove repetitive work, but keep people accountable for results, ethics and impact.

**02**

**Redesign how work flows**

Rethink how work moves between people, AI and processes. A new task list is not enough.

**03**

**Keep judgment, trust and context human**

Use AI for speed and scale, but keep judgment, trust and context in the hard decisions.

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“A great manager designs the boundary between human judgment and machine speed.”

TRENDS

# Management trends 2026

Five movements shaping the manager's work.

**01** **Agentic AI enters workflows**
AI is moving from individual help to running multi-step workflows.

**02** **Middle management is being redefined**
The role is shifting from administrative coordination to judgment, coaching and prioritisation.

**03** **Skills beat job descriptions**
Companies look for adaptability and transferable skills, not only titles.

**04** **Productivity pressure is rising**
More data and more visibility raise the pressure on managers.

**05** **Culture becomes an AI issue**
How people work together is becoming part of the return on AI.

## What should a leader do?

1. Clarify how decisions are made.
2. Turn trends into work standards.
3. Watch the impact on people, not only the output.

Editorial synthesis of the sources in this edition.

WORK DESIGN

# Operating models over prompts

Why management changes through how work is organised more than through prompts.

AI can speed up a task. The real value appears when the organisation reviews the process, the decision-making, the standards and how the result is repeated.

**01**

**From personal productivity to process redesign**

From individual time saved to a simpler core process.

**02**

**From faster output to clearer decision rights**

Speed is not enough. It must be clear who decides, when and on what basis.

**03**

**From isolated use to team-wide standards**

Value grows when individual use becomes a shared way of working.

**04**

**From experimentation to repeatable workflow**

From scattered trials to processes that are measurable, repeatable and stable.

THE KEY QUESTION

Beyond what AI can do: how does the way the team works change?

AT A GLANCE

# The numbers

The figures behind this edition, each with its source.

**66%**
of AI users say AI gives them more time for high-value work.
MICROSOFT

**58%**
say AI helps them produce work they could not have done a year ago.
MICROSOFT

**40%**
higher productivity growth, 2018–2025, in companies of the most AI-exposed sectors: 34% against 24%.
PWC

**85%**
of leaders say building adaptability is critical.
DELOITTE

**7%**
say they are leading in helping their workforce grow and adapt.
DELOITTE

**65%**
of organisations believe their culture needs significant change because of AI.
DELOITTE

FOR THE MANAGER

AI is bringing change either way. What matters is whether the organisation turns that change into a standard.

Source: Microsoft WorkLab, 2026 Work Trend Index: Agents, human agency, and the opportunity for every organization; PwC, 2026 Global AI Jobs Barometer; Deloitte, 2026 Global Human Capital Trends

HUMAN × MACHINE

# Who decides what?

Handing work to AI blindly is easy. A good manager first draws the line between machine speed and human judgment.

| Best for AI | Must stay human |
|---|---|
| Summarising large volumes of information | Setting priorities |
| First drafts and documentation | Coaching people |
| Pattern spotting | Judgment under ambiguity |
| Anomaly alerts | Ethical trade-offs |
| Scenario generation | Exception handling |

**16%** of AI users in Microsoft's research are "Frontier Professionals": they use agents for multi-step work, redesign how they work and share AI standards with their teams.

A QUESTION FOR THE MANAGER

Are we using AI to remove low-value work, or to remove the thinking too?

"The manager's job is to decide who decides."

Source: Microsoft WorkLab, 2026 Work Trend Index: Agents, human agency, and the opportunity for every organization

WORK DESIGN

# The return on AI depends on how work is designed.

Technology arrives fast. The rules for how people and machines work together often lag behind.

**6%**

of leaders say they are making progress in designing how people and AI work together.

**60%**

of leaders use AI to support decisions, yet only 5% say they manage AI-based decisions well.

**Role**
Who does what?

**Rights**
Who decides?

**Checks**
Who verifies?

**Escalation**
When is a person needed?

THE OPERATING MODEL TEST

If AI delivers output faster but nobody knows who decides, who checks and who is accountable, the organisation has gained speed and nothing more.

Source: Deloitte, 2026 Global Human Capital Trends

AI AND JOBS

# Productivity rises. Skills move faster.

AI is changing the output, and with it what roles are made of.

**40%**

higher productivity growth from 2018 to 2025 in companies of the sectors most exposed to AI than in the least exposed: 34% against 24%.

**2×**

Skills in the most AI-exposed jobs are changing more than twice as fast.

**7×**

In the US, AI-exposed junior roles are seven times more likely to ask for skills that used to be senior, such as leadership.

**2.5×**

The most AI-exposed jobs are adding tasks that rely on empathy, judgment and creativity 2.5 times faster.

**WHAT IT MEANS FOR MANAGERS**

When you take tasks out of a role, plan what the person learns next and which bigger responsibility they grow into.

Source: PwC, 2026 Global AI Jobs Barometer

CULTURE

# The 65% culture reset

Most organisations in Deloitte's study believe their culture needs to change significantly because of AI.

**Trust**
Can the AI's output be challenged?

**Transparency**
Does the team know when AI is being used?

**Learning**
Is there room to learn without shame?

**Accountability**
Does responsibility stay clear?

**WHERE IMPROVISATION STARTS**

When technology changes faster than the team's norms, people start to improvise. That is where shadow AI, distrust and double standards are born.

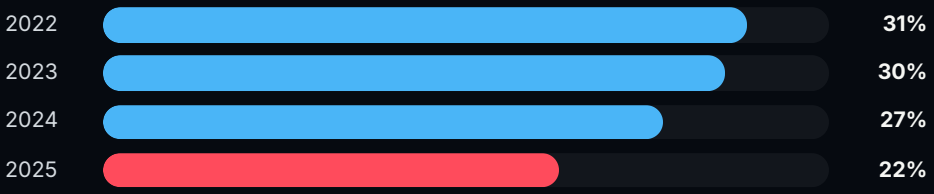
Source: Deloitte, 2026 Global Human Capital Trends

PEOPLE AND PERFORMANCE

# The manager engagement squeeze

Managers used to have an engagement advantage. In 2025 it almost disappeared.

ENGAGED MANAGERS WORLDWIDE




**20%**
of employees worldwide were engaged in 2025.

**79%**
of managers were engaged in Gallup's best-practice organisations.

WHY IT MATTERS

When the manager loses energy, so does the capacity for coaching, feedback, priorities and connection with the team. The operation feels it soon after.

Source: Gallup, State of the Global Workplace 2026

FRONTLINE MANAGEMENT

# Promotion without preparation.

Being good at operational work does not automatically prepare you to lead people.

US FRONTLINE SUPERVISORS AND SUPERVISOR TRAINING



**45%**
trained in the past year

**32%**
trained, but not in the past year

**23%**
never trained

SUPERVISORS TRAINED IN THE PAST YEAR ARE

**79%**
more likely to be engaged

**19%**
less likely to feel burned out very often or always

**11%**
less likely to be actively looking or watching for a new job

ONE PRACTICAL MOVE

Build onboarding for new managers that covers prioritising, feedback, coaching, delegation and escalation. Do not let them learn the role only by burning out in it.

Source: Gallup, When Good Frontline Workers Make Bad Supervisors

SPAN OF CONTROL

# How many direct reports are too many?

There is no universal number. But there is a practical limit: how many people can you lead without losing coaching, feedback and clarity?

MANAGER ENGAGEMENT BY TEAM SIZE

**5–6**
median team size per manager

| DIRECT REPORTS | OWN WORK ≤ 40% | OWN WORK > 40% |
|---|---|---|
| 1–4 | 37% | 36% |
| 5–9 | 37% | 35% |
| 10–24 | 37% | 34% |
| 25+ | 37% | 32% |

"Own work": the share of time the manager still spends on individual contributor work.

THE PLAYER-COACH PROBLEM

97% of US managers in Gallup's study also carry individual work, at a median of 40% of their time. When that load stays high and the team grows, management weakens.

Source: Gallup, Span of Control: What's the Optimal Team Size for Managers?

TRUST AND VISIBILITY

# The visibility trap

When physical presence becomes a performance signal, management risks measuring what is seen, not what is valuable.

**76%**

of employees surveyed see leadership visibility and oversight as the top reason for return-to-office policies.

**48%**

have taken part in, or plan to try, “billboard days”: office days chosen to be seen by senior leaders or clients.

**87%**

say a supportive manager is a top factor in how they feel about their job.

### A CHECK FOR YOUR OWN TEAM

Look at what you reward. If someone's standing rises with the days they are seen, visibility has started to count for more than contribution. Clear output, collaboration, trust and results are stronger signals than presence.

Source: Owl Labs, State of Hybrid Work 2026: survey of 2,000 full-time knowledge workers in the US.

FROM THE FLOOR

# From operations to management: the pressure changes shape.

| 4 | 8 | ~250 |
|---|---|---|
| Shift Leaders | dispatchers | drivers, indirectly |

When I moved from Team Leader On Road to Area Manager after about five months, the responsibility grew quickly. My direct structure was four Shift Leaders and eight dispatchers, and the operation included around 250 drivers indirectly.

The energy did not go into one problem. It went into constantly switching between KPIs, delays, quality, damage, loading, safety and people who needed a decision or support.

What would have helped me most is onboarding made for the step from operator to manager: prioritising, delegating, feedback and clear limits to the role.

**WHAT IT TAUGHT ME**

A manager who reacts to everything quickly becomes part of the problem. A manager who tells the signal from the noise can start building a system.

STIVEN JANAQI

More in the essay Leading people without losing the person

TOOL OF THE MONTH

# A KPI is a signal, not a conclusion.

A red KPI starts an investigation. Whether the process should change is decided later.

1. **Segment**
   Split the problem by shift, zone, category, channel or team.
2. **Find the concentration**
   Find where most of the loss collects.
3. **Go to the process**
   Look at the operational reality and check what is happening.
4. **Ask why**
   Only now use 5 Why or another cause analysis.
5. **Countermeasure**
   Try one small change and measure the result.

"A KPI shows you where to start asking questions."

**Don't fight the symptom. Find the pattern.**

Open the tool: KPI Diagnostic stivencatalyst.com/tools/kpi-diagnostic/

OPERATIONS LAB

# Pareto before 5 Why

Do not look for the root cause of a problem you have not located yet.

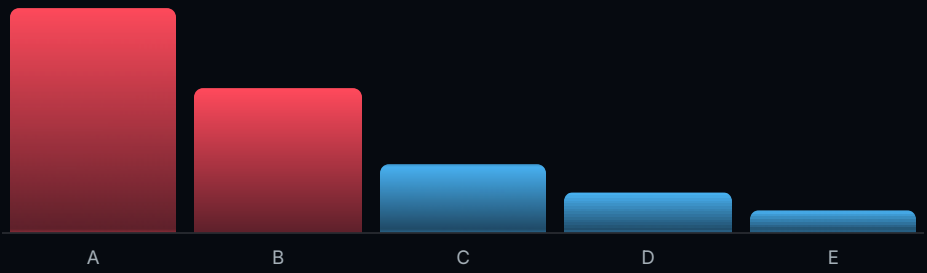



*Illustration: cases by category*

1. **Pareto finds the concentration.**
   Which category, zone or visible cause is producing most of the cases?

2. **Gemba checks reality.**
   What looks true in the report has to be seen in the process.

3. **5 Why looks for the cause.**
   Only once you have chosen the right problem, ask why it happened.

RULE OF THUMB

Go from wide to narrow: KPI, segment, Pareto, process, 5 Why, countermeasure.

More in the essay — Pareto and 5 Why in practice, not in PowerPoint

Open the tool: Pareto 80/20 — stivencatalyst.com/tools/pareto/

PRACTICE

# The 15-minute operations review

A simple frame for reading the operation without getting lost in the noise.

1. **People**
   Who needs support, clarity or feedback?
2. **Process**
   Where is the flow of work breaking?
3. **Performance**
   Which numbers are drifting from the standard?
4. **Problems**
   Which issues keep coming back?
5. **Priorities**
   What must be followed up today, not tomorrow?

**KEEP IN MIND**

The aim is to see the operation more clearly. Reporting more is a different aim.

OPERATING DISCIPLINE

# Handover is organisational memory.

A shift can do perfect work. The organisation still fails if the information does not reach the next shift.

1. **State**
   What is the situation now?
2. **Open points**
   What is not closed?
3. **Owner**
   Who takes it on?
4. **Deadline**
   When must it be acted on?
5. **Context**
   What must be understood, not just read?

THE TEST

If the next person has to rebuild the story from scratch, the handover has not worked.

More in the essay — Why the shift handover is one of the most underrated processes

Open the tool: Shift Handover — stivencatalyst.com/tools/shift-handover/

STANDARD WORK

# A good SOP holds up on shift.

It is a way of working that someone else can use under pressure and still reach the same result.

**01**
**Find**
The information must be where the employee expects it.

**02**
**Follow**
The order must be clear, not open to interpretation.

**03**
**Verify**
A step counts as done when the result is right; a click proves nothing.

**04**
**Update**
When the process changes, the standard must change with it.

THE STIVEN CATALYST RULE

If the SOP looks good as a PDF but nobody uses it on shift, it is documentation, and the standard is still missing.

More in the essay A good SOP is not a document

NEW IN THE ROLE

# The first 90 days

In a new operation, the first job is to understand what needs to change, well before you show how fast you can change it.

**Days 1–30** — **Understand**

The team, the process, the KPIs, the customer, the handover, the dependencies and the problems that have become "normal".

**Days 31–60** — **Prioritise**

Separate symptoms from real problems. Choose a few priorities and give each an owner.

**Days 61–90** — **Standardise**

Turn improvements into a working rhythm: review, standard, measurement, feedback and follow-up.

THE GOAL

At the end of this period, the operation should understand itself better and learn faster than when you arrived.

More in the essay — The Operations Manager I want to be

A 30-DAY CHALLENGE

# One problem. Four weeks.

Pick a problem that keeps coming back: one you see often, that costs time or energy and is worth understanding better, even if it is not the biggest in theory. Treat it as an experiment rather than a crisis.

## Week 1

**Observe and log**

Log every repeat by category, not by culprit. Do not propose solutions yet.

## Week 2

**Segment**

Use Pareto. Find where the cases pile up and choose the main category.

## Week 3

**Diagnose**

Go to the process. Use 5 Why only on the chosen problem, until you find a cause deeper than the symptom.

## Week 4

**Test**

Try one small countermeasure. Measure, see whether the pattern changes, and decide whether it should become the standard.

AT THE END OF THE MONTH

You will not have solved everything. If one recurring problem is better understood than four weeks ago, the month has done its work.

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“One month. One recurring problem. One better standard.”

THE STIVEN CATALYST PLAYBOOK

# Five principles for better operations

**01** **People**
Pressure can be fair. Humiliation cannot.

**02** **Standards**
If the result depends on having the right person on shift, you do not have a standard yet.

**03** **Data**
The KPI is the signal. The floor tells you what it means.

**04** **Ownership**
A problem must not be left without an owner, but it must not cross the limits of authority either.

**05** **Continuous improvement**
Once a problem is solved, ask what to change so that it does not come back.

“Good leadership builds an operation that needs saving less often.”

SOURCES AND METHOD

# No invented stats. No empty jargon.

Every number in this edition is tied to an identifiable source. The data is there to build the argument, not as decoration.


**2026 Work Trend Index: Agents, human agency, and the opportunity for every organization**
Microsoft WorkLab
https://www.microsoft.com/en-us/worklab/work-trend-index/agents-human-agency-and-the-opportunity-for-every-organization

**2026 Global Human Capital Trends**
Deloitte
https://www.deloitte.com/us/en/insights/topics/talent/human-capital-trends.html

**2026 Global AI Jobs Barometer**
PwC
https://www.pwc.com/gx/en/issues/artificial-intelligence/job-barometer/2026.html

**State of the Global Workplace 2026**
Gallup
https://www.gallup.com/workplace/349484/state-of-the-global-workplace.aspx

**When Good Frontline Workers Make Bad Supervisors**
Gallup, 2026
https://www.gallup.com/workplace/700163/when-good-frontline-workers-make-bad-supervisors.aspx

**Span of Control: What's the Optimal Team Size for Managers?**
Gallup, 2026
https://www.gallup.com/workplace/700718/span-control-optimal-team-size-managers.aspx

**State of Hybrid Work 2026**
Owl Labs
https://resources.owllabs.com/blog/2026-state-of-hybrid-work


**EDITORIAL METHOD**

The sources were checked for year, publisher and the exact meaning of each metric. Where an idea is editorial interpretation, it is kept clearly apart from the statistics. Personal experience is used only where it is documented from real work.

**CORRECTION · 14 OCTOBER 2026**

Three figures now say they come from US samples: PwC's finding on AI-exposed junior roles, and Gallup's figures on frontline supervisors and on managers who also carry individual work. The edition first gave them without the country.

**CORRECTION · 27 OCTOBER 2026**

The 40% now says what it compares: productivity growth from 2018 to 2025 of 34% in companies of the sectors most exposed to AI, against 24% in the least exposed, as PwC reports it. The edition first gave the 40% alone.



# MANAGEMENT REVIEW

Management without theatre.

Every month, the conversation goes on in

**FROM THE FLOOR**

the monthly magazine of Stiven Catalyst.

stivencatalyst.com/publications.html

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Edited by Stiven Janaqi, who answers for it; “the editors” in this publication means him. Its texts, translations, layout and the checking of figures against their sources are done in working sessions with Claude, an AI model by Anthropic.
stivencatalyst.com/how-this-is-made.html